Chapter 1: The UK Tax System and Its Administration

Abstract

This chapter introduces the overall structure and purpose of the United Kingdom tax system within the ACCA TX-UK syllabus. It explains why taxation exists, distinguishes direct and indirect taxation, identifies the main capital and revenue taxes, and summarises the legal and administrative framework in which HM Revenue and Customs (HMRC) operates. The chapter also outlines self-assessment, filing and payment deadlines, compliance activity, and the ethical responsibilities of tax advisers. The aim is to provide a professional, exam-focused foundation for later computational and advisory topics.

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1 Introduction

This study paper provides a structured overview of the UK tax system for ACCA TX-UK. It is written in a concise reference style so that key definitions, comparisons, and administrative rules can be revised quickly.

1.1 Chapter Focus

- Purpose of taxation in a modern economy
- Direct and indirect taxation
- Capital and revenue taxes
- Revenue law, practice, and HMRC guidance
- Self-assessment and tax administration
- Ethics, avoidance, and evasion

1.2 Revision Route

- Start with purpose of taxation
- Compare direct and indirect taxes
- Learn the main UK taxes
- Review sources of revenue law
- Finish with ethics and professional conduct

2 The UK Tax System and Its Administration

2.1 The Overall Function and Purpose of Taxation

2.1.1 Purpose of Taxation

Taxation serves both **economic** and **social** objectives.

2.1.1.1 Economic Purpose

- Funds public expenditure and public services
- Influences inflation, employment, and trade activity
- Encourages or discourages particular behaviour
- Supports wider fiscal policy goals

2.1.1.2 Social Purpose

- Contributes to redistribution of wealth
- Supports social justice objectives
- Shapes fairness through tax burden design
- Can target support to specific groups

The current UK tax system may encourage:

- Individual saving through tax-advantaged products such as Individual savings accounts (ISAs)
- Charitable giving through reliefs such as Gift Aid
- Entrepreneurship and investment through targeted reliefs

The current UK tax system may discourage:

- Motoring through fuel duties
- Smoking and alcohol consumption through excise duties
- Environmental damage through taxes such as landfill tax and the climate change levy

2.1.2 Principles of Taxation

The structure of a tax system affects how wealth is accumulated and redistributed. The principal models are summarised in Table 1.

Table 1: Main taxation principles

Principle	Meaning	Typical effect
Progressive taxation	As income rises, the proportion of tax paid rises	Greater burden on higher incomes
Regressive taxation	As income rises, the proportion of tax paid falls	Greater relative burden on lower incomes
Proportional taxation	The same proportion applies at all income levels	Constant effective rate
Ad valorem principle	Tax is charged as a percentage of value	Common in transaction taxes

Examples:

- **Progressive tax**: income tax
- **Regressive tax**: a fixed duty on fuel
- **Proportional tax**: a flat percentage charge
- **Ad valorem tax**: VAT charged as a percentage of selling price

2.2 Direct and Indirect Taxation

The distinction between **direct** and **indirect** taxation is fundamental.

2.2.1 Direct Taxation

- Paid directly to HMRC by the taxpayer
- Usually charged on income, profits, or gains
- Includes both revenue and capital taxes

Examples:

- Income tax
- Corporation tax
- Capital gains tax
- Inheritance tax

2.2.2 Indirect Taxation

- Collected through an intermediary
- Usually arises on goods or services
- The final economic burden often falls on the consumer

Example:

- VAT paid by the consumer to the supplier, then remitted to HMRC

2.3 The Different Types of Capital and Revenue Tax

The UK tax system comprises a range of examinable taxes. A concise summary is provided in Table 2.

Table 2: Main UK taxes within TX-UK

Tax	Main taxpayer	Broad basis
Income tax	Individuals	Earnings and investment income
National insurance contributions (NICs)	Individuals and employers	Employment or self-employment earnings
Capital gains tax	Individuals	Disposal of capital assets
Inheritance tax	Estates and, in some cases, lifetime transfers	Value transferred
Corporation tax	Companies	Taxable profits and gains
Value added tax (VAT)	Final consumer economically; collected by suppliers	Supply of goods and services

2.3.1 Income Tax

Income tax is payable by individuals on earnings, trading income, and certain forms of investment income.

2.3.2 National Insurance Contributions (NICs)

NICs are payable by employed and self-employed individuals. Employers also bear NIC obligations in respect of employees.

2.3.3 Capital Gains Tax

Capital gains tax is payable by individuals on the disposal of certain capital assets, including land, buildings, shares, and some valuable chattels.

2.3.4 Inheritance Tax

Inheritance tax may arise on a deceased person's estate and on certain lifetime transfers.

2.3.5 Corporation Tax

Corporation tax is payable by companies on taxable income and chargeable gains.

2.3.6 Value Added Tax (VAT)

VAT is an indirect tax charged on the supply of goods and services, with the final burden generally borne by the consumer.

2.4 Principal Sources of Revenue Law and Practice

2.4.1 The Overall Structure of the UK Tax System

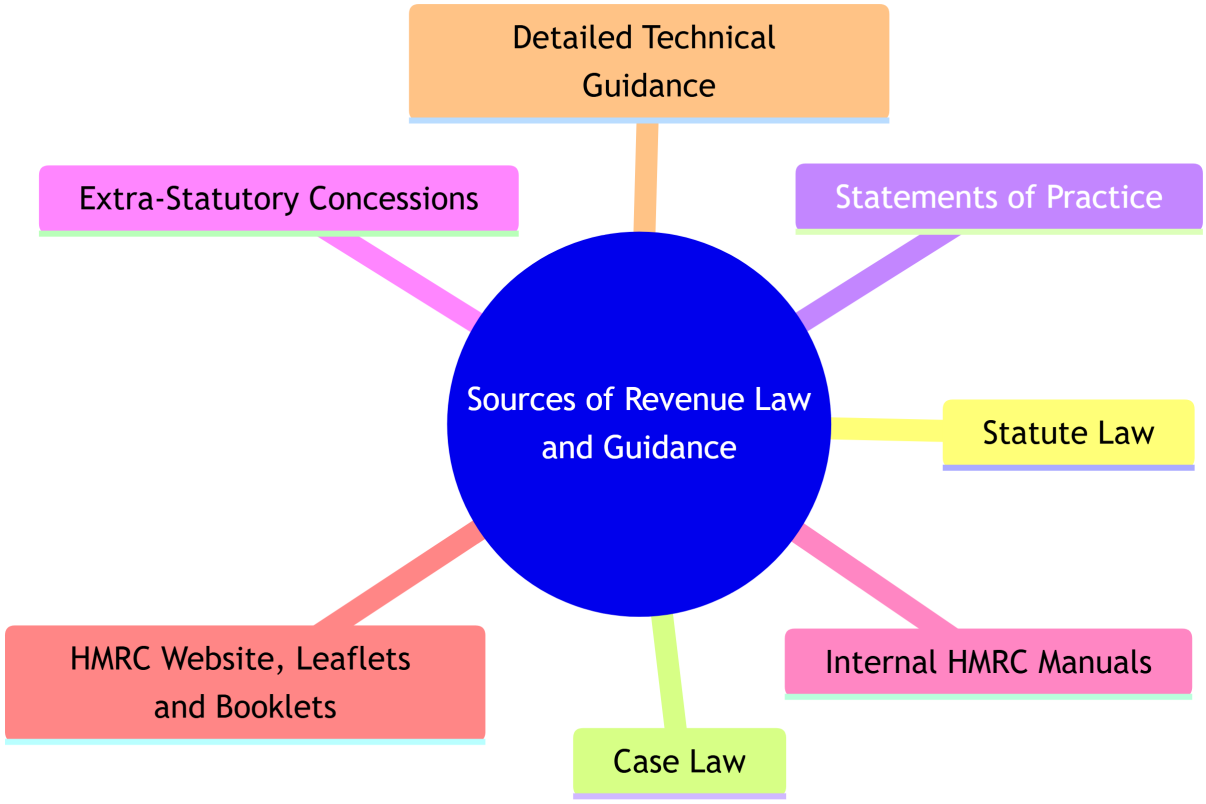
HMRC is the UK government department responsible for administering the tax system. Its practical role is to collect revenue, implement tax law, and support the funding of public services.

The department's core functions include:

- Implementing statute law
- Overseeing tax administration
- Administering filing, payment, and compliance processes
- Supporting targeted financial support arrangements

Under **self-assessment**, responsibility for reporting taxable income and calculating tax largely rests with the taxpayer. Companies must file returns and pay tax electronically. Individuals are strongly encouraged to file online, although paper filing may still be available in limited contexts.

2.4.2 Sources of Revenue Law



The principal sources are as follows:

2.4.2.1 Statute Law

Statute law is legally binding. Tax legislation is usually updated through the annual Finance Act following the Chancellor's Budget.

2.4.2.2 Case Law

Case law consists of judicial decisions that interpret legislation. These decisions are important where wording is uncertain or disputed.

2.4.2.3 HMRC Guidance

HMRC publishes guidance to explain how legislation is applied in practice and to set out its interpretation of the law. Guidance does not override legislation, but it is important in day-to-day administration.

2.4.2.4 Extra-statutory concessions (ESCs)

ESCs allow a relaxation of the strict letter of tax law in certain circumstances. HMRC can make an ESC to administer the tax system fairly and effectively, but cannot counter the clear words of tax law.

An ESC confirms that HMRC will apply a tax law to a specific group in a more favourable way than another possible interpretation, to avoid undue hardship, unfairness, or an illogical result.

HMRC publishes current ESCs and all taxpayers in the stated situation can rely on these. It is government policy for the content of issued ESCs to eventually be withdrawn or enacted into law.

2.4.3 HMRC and Its Terms of Reference

HMRC is responsible for the administration, collection, and enforcement of UK taxes. In exam terms, its role is best understood through the following themes:

- Administration of the tax system
- Collection of tax revenues
- Processing returns, claims, and payments
- Conducting compliance checks
- Applying penalties and interest where required
- Publishing operational and technical guidance

2.4.4 Tax Avoidance, Tax Evasion, and GAAR

The distinction between tax avoidance and tax evasion is fundamental.

2.4.4.1 Tax Evasion

Tax evasion is the illegal reduction of tax through dishonest conduct.

Common examples include:

- Failing to declare taxable income
- Suppressing relevant information
- Claiming false deductions or expenses
- Submitting inaccurate information deliberately

2.4.4.2 Tax Avoidance

Tax avoidance involves arranging affairs so as to reduce tax liability within the law. In a basic sense, this may simply be **tax planning**, such as using ISAs or other reliefs correctly.

However, the term may also be used for artificial schemes designed to exploit gaps in legislation.

2.4.4.3 General Anti-Abuse Rule (GAAR)

GAAR is intended to counter **artificial and abusive arrangements** that cannot reasonably be regarded as a proper course of action. It targets aggressive tax avoidance rather than ordinary commercial or personal tax planning.

2.4.5 International Interaction and Double Taxation Agreements

Because countries operate different tax systems, the same income or gain may sometimes be taxed in more than one jurisdiction.

2.4.5.1 Double Taxation Agreements

Double taxation agreements are bilateral treaties between countries that:

- Allocate taxing rights between jurisdictions
- Exempt certain overseas income from UK tax, or
- Provide relief when the same income is taxed twice

Where no treaty exists, unilateral relief may still be available under domestic UK rules.

2.4.5.2 European Context

Although EU states have historically retained separate tax systems, they have aligned some areas, especially VAT, through directives and related legal developments. In practice, this has influenced UK tax law and the treatment of non-residents in some cases.

2.4.6 The Need for an Ethical and Professional Approach

Tax advice creates responsibilities both to the client and to HMRC. A professional adviser must never be knowingly involved in tax evasion.

ACCA ethical guidance does not support arrangements that:

- Seek results contrary to the clear intention of Parliament
- Are highly artificial or highly contrived
- Exploit shortcomings in legislation in an abusive way

The five fundamental ethical principles may be remembered as **OPPIC**.

2.4.6.1 OPPIC Principles

1. Objectivity
2. Professional competence and due care
3. Professional behaviour
4. Integrity
5. Confidentiality

2.4.6.2 Professional Expectation

- Act honestly
- Apply current technical knowledge
- Avoid bias and conflicts
- Protect confidential information
- Avoid conduct that discredits the profession

2.4.6.3 Objectivity

Members should not allow bias, conflicts of interest, or undue influence to override professional judgment.

2.4.6.4 Professional Competence and Due Care

Members must maintain technical knowledge and act diligently in accordance with current professional standards.

2.4.6.5 Professional Behaviour

Members must avoid conduct that could bring discredit to the profession.

2.4.6.6 Integrity

Members must act honestly and straightforwardly in professional and business relationships.

2.4.6.7 Confidentiality

Members must not disclose information acquired through professional work unless there is proper authority or a legal or professional duty to disclose.

2.4.7 Errors, Disclosure, and Money Laundering Considerations

Where a client error is discovered, the adviser should first consider whether it was genuine or deliberate. The client should then be advised to make full and prompt disclosure to HMRC.

If the client refuses:

- The consequences should be explained in writing
- Materiality should be considered
- Continuing to act should be reconsidered

If the client still refuses full disclosure, the adviser should cease to act and inform HMRC only that they no longer act for the client, without disclosing the reason.

2.4.7.1 Money Laundering Regulations

Money laundering includes benefiting from, or concealing, the proceeds of crime. Businesses in regulated sectors must appoint a **Money Laundering Reporting Officer (MLRO)**.

The MLRO decides whether a matter should be reported to the **National Crime Agency (NCA)**. A client must not be informed of such a report if that would amount to **tipping off**, which is a criminal offence.

3 Administrative Framework for Self-Assessment

This topic is introduced in the syllabus even where detailed computations are covered later. At this stage, the key ideas are procedural.

3.1 Core Features

- The taxpayer is primarily responsible for reporting taxable income correctly
- Returns must be submitted within statutory deadlines
- Tax must be paid by the due date
- Records must be retained to support the return
- HMRC may later open a compliance check

3.2 What Students Should Be Able to Do

- Recognise filing deadlines
- Identify payment dates
- Understand claims and information time limits
- Distinguish between taxpayer responsibility and HMRC review activity

4 Compliance, Appeals, and Penalties

4.1 Compliance Checks

HMRC may review a self-assessment return through a compliance check where it considers that further verification is required.

4.2 Appeals and Disputes

A taxpayer may challenge HMRC decisions through the appeal process, including tribunal procedures where relevant.

4.3 Penalties for Non-Compliance

Non-compliance may lead to:

- Late filing penalties
- Late payment penalties
- Interest on overdue tax
- Additional consequences where inaccuracies are deliberate